MSQF533 Financial Risk Management

UNIT I – INTRODUCTION TO RISK MANAGEMENT

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1.Introduction to Risk Management

- **Risk management** means identifying possible risks, understanding their impact, and taking suitable steps to reduce or control them.
- In financial markets, prices can change quickly. Because of this, investors, companies and financial institutions may face losses. Risk management helps them **protect their money and reduce unexpected losses**.
- **Example:**
  If you buy a share for ₹500 and its price falls to ₹400, you face a loss of ₹100. This is a financial risk. Using techniques such as diversification, insurance or hedging can help manage such risks.

Risk and Uncertainty

- Risk and uncertainty are related but are not exactly the same.
- Risk refers to situations where possible outcomes can be identified and the likelihood of those outcomes can often be estimated.
- Uncertainty refers to situations where future outcomes are difficult to predict or their probabilities are difficult to estimate.
- For example, the historical volatility of a share can be measured statistically. However, the exact effect of an unexpected war or major political event may be difficult to predict.

Systematic Risk Vs Unsystematic Risk

Systematic Risk	Unsystematic Risk
Affects the overall market	Affects a particular company or industry
Market-wide	Company-specific
Cannot be completely eliminated through diversification	Can be substantially reduced through diversification
Inflation	Management failure
Recession	Product failure
Interest-rate changes	Company fraud
War	Labour problems

2. Sources of Risk

a) Commodity Investment Risk
b) Equity Investment Risk
c) Currency Investment Risk
d) Market Risk
e) Risk of Fixed Income Investments

Commodity Investment Risk

- Commodity investment means investing or trading in commodities such as gold, silver, crude oil, agricultural products and metals.
- The price of commodities can change because of:
- Changes in demand and supply
- Weather conditions
- Government policies
- International events
- Changes in exchange rates
- **Example:**
  If crude oil prices suddenly increase, companies that use large amounts of fuel may face higher costs.

Equity Investment Risk

- **Equity** means shares or stocks of companies.
- When an investor buys shares, the value of the investment may increase or decrease. A fall in the share price can cause a loss.
- **Example:**
  You purchase a share at ₹1,000. If the market price falls to ₹850, your loss is ₹150 per share.

- **Major reasons** for equity risk include:
- Changes in company performance
- Economic conditions
- Interest-rate changes
- Political events
- Market sentiment
- Global market movements

Currency Investment Risk

- **Currency risk** occurs when the value of one currency changes against another currency.
- This is particularly important for companies and investors dealing with foreign countries.
- **Example:**
  An Indian company has to pay **$1 million** to a US supplier. If the US dollar becomes more expensive compared with the Indian rupee, the Indian company will need more rupees to make the payment.
- Currency risk is also called **foreign exchange risk or forex risk**.

Market Risk

- **Market risk** is the possibility of losing money because the overall market moves against an investment.
- It can affect shares, bonds, currencies, commodities and other financial assets.
- **Example:**
  If the stock market falls sharply, the value of many shares in an investor's portfolio may decrease.

- Market risk may be caused by:
- Economic recession
- Interest-rate changes
- Inflation
- Political uncertainty
- Global financial events
- Changes in investor confidence

Risk of Fixed Income Investments

- **Fixed income investments** include bonds, government securities and other instruments that normally provide regular interest income.

These investments are generally considered more stable than shares, but they also have risks.

- Important risks include:
- **Interest Rate Risk**
- When market interest rates increase, the price of existing bonds may fall.
- **Example:**
  You hold a bond paying 7% interest. Later, new bonds offer 9%. Investors may prefer the new bonds, so the price of your 7% bond may decrease.

Risk of Fixed Income Investments

- **Credit Risk**

Credit risk is the possibility that the borrower may not pay interest or repay the principal amount on time.

- **Example:**
  A company issues a bond but later faces financial problems and cannot make its interest payment.
- **Inflation Risk**

Inflation reduces the purchasing power of money received from an investment.

- **Example:**
  If a bond gives 6% return but inflation is 7%, the investor's real

Why Risk Management Is Important

- Risk management is important because it helps investors and organisations:
- Reduce possible financial losses
- Protect their investments
- Make better financial decisions
- Prepare for unexpected events
- Maintain financial stability
- Improve confidence in investment decisions

Simple Risk Management Process

- **Identify the risk → Measure the risk → Analyse the impact → Take suitable action → Monitor the risk**
- **Example:**

A company expects the price of crude oil to increase.

- **Identify:** Crude oil price risk

  Measure: Estimate the possible increase in cost

  Analyse: Calculate its effect on profit

  Action: Use futures or other hedging methods

  Monitor: Continuously watch oil prices